How to Succeed in Active Management

DESPITE MY ADMONITIONS in the prior chapters, some of you will *still* want to actively manage your assets. To succeed, you are either going to be selecting individual stocks or fund managers. You may want to own bonds for yield; perhaps you will allocate capital to an alternative manager, either a hedge fund, VC, or private credit/equity shop, or a fund of funds.

The data on these investments reveal two important things: First, the odds are against you succeeding at any of these things. Not impossible, just a very slim chance at success. And second, there is a very small percentage of people who manage to do just that, outperforming their benchmark and/or the S&P 500 in any given year. Because these birds are so rare, most of us working in financial services know who they are when they beat the index. Few can do it for more than a couple of years, and the ones who do it consistently over time—the Warren Buffetts and the Peter Lynches—are such rarities they become household names.

Active management is a difficult but not impossible task, and that possibility, no matter how slim, is what keeps people coming back again and again.

Meir Statman, professor of finance at Santa Clara University, studies how people make financial decisions and he sheds further light on the appeal of active management and trying to beat the market. Statman's book *What Investors Really Want*[244] set the standard for analyzing the true motivations of investors. He found that investors seek more than capital appreciation—they also want well-being, security, alignment with personal values, and fairness. Many seek to show off their intelligence, thereby gaining recognition and status. Setting out to beat the market clearly ties into various of these motivations of investors, especially intelligence and status.

If you still think you can do this, let's look at what you must do in any of the above areas—stocks, bonds, mutual funds, private equity, hedge funds,